

TEAM pitch deck

PITCH — TEAM — VERDICT

ADJUDICATED 2026-08-07 — PRICE-GATED, NO POSITION: the business passed our examination and the honesty case cleared, but we refused to buy a stock that had just gapped +30% overnight; the first third only unlocks at \$126 or below, and as of 2026-08-18 the stock is \$158.34, so we own nothing and that is the correct outcome.

What we believe

Atlassian is a good business that just finished a good year, and we came within a hair of buying it for the wrong reason.

The specific thing we believe, stated plainly:

- 1. The reported cash-flow decline is mostly a timing artifact, not decay.** Free cash flow fell 6.8% in fiscal 2026 (\$1,319.1M vs \$1,415.5M) while revenue grew 26%. That looks alarming. It is explained by two things the company disclosed: a very large unpaid-customer-invoice balance at the June year-end, and roughly \$170–199M of cash severance from a restructuring that did not exist the prior year. Add those back and cash flow grew somewhere between 17% and 29%.
- 2. The invoice build is seasonal, and we can prove it.** Atlassian bills enterprise renewals into its December and June quarters and collects the cash in September and March. Reconstructed quarter by quarter from three separate filings, fiscal 2026 went +\$241.4M (cash in), −\$367.4M, +\$4.3M, −\$362.7M — summing exactly to the −\$484.5M full-year figure. Three-quarters of the whole year's build landed in the final quarter alone. That is an invoicing spike on a demonstrated collection cycle.
- 3. The company is behaving honestly.** It told investors, in its own words, that ending the Data Center product line pulled future purchases into fiscal 2026, sized the benefit at roughly four points of operating margin, guided the payback (Data Center revenue −17% in fiscal 2027), and instructed investors to use recurring-revenue instead of reported revenue. A company that names its own distortion, measures it, and hands you a better yardstick is the profile we are built to *clear*, not catch.
- 4. The valuation is fair, not cheap — and fair is not a reason to buy today at this price.** At the court price of \$143 the stock was ~27x reported cash flow and ~20x normalized cash flow. At today's \$158.34 it is roughly **30x reported and ~22x normalized**, about **20x** fiscal-2026 adjusted operating income. Nothing about that is a bargain.
- 5. So the trade is a price trade, not a thesis trade.** We are not waiting for evidence. We have the evidence. We are waiting for a price.

What the market believes

The market believes the fiscal-2026 fourth-quarter print was a genuine inflection and paid up +29.4% in one session, from \$110.17 to ~\$143, and has since carried it to \$158.34 (it touched \$165.98 along the way). The bull case being paid for: cloud revenue re-accelerated to 31% growth, recurring revenue guided +18%, record large-deal activity (\$3M+ customers +50% year over year, \$5M+ customers +70%), share count shrinking, and an AI product (Rovo) with real engagement. Implied volatility sat at 92% — the 94th percentile of the last 13 weeks — which is the options market saying it does not know what happens next either.

What the market is *not* pricing, or is pricing charitably: that fiscal 2027's reported numbers will look ugly on purpose (Data Center down 17%, four margin points of pull-forward rolling off, three more points given up shifting employee pay from stock to cash), and that nobody outside the company can size the AI revenue at all.

Why we might have edge

Honestly: our edge here is **not** finding a mispricing. It is **not making a mistake that a careful reader could easily have made**.

Our first analyst built a rejection around what looked like a concealment: the release stated free cash flow with no prior-year comparison, while every other metric carried one. That is exactly the pattern we hunt. Our second analyst pulled the *prior year's* release — a year when cash flow grew and the comparison would have flattered them — and found word-for-word the same construction. The template never carried a prior-year clause. The “concealment” was a formatting convention.

That is the transferable skill: **always pull the control document from a year when the company had no motive to hide**. A formatting difference is only evidence if the formatting actually differed.

The second piece of edge is arithmetic nobody else appears to have done: decomposing the receivable into quarters across three filings until it tied exactly to the annual figure. A structural cash-drain and a seasonal one look identical in an annual number and completely different in a quarterly sequence.

Where that leaves us: we can now buy this business at a price with a verified thesis and a measured falsification test, instead of guessing. That is worth something. It is worth less than a discount.

Why it might be priced in

Fully stated, because these are good objections:

- **Three of four things we learned are things the company itself disclosed.** The pull-forward, the four-point margin benefit, the -17% Data Center guide, the pay-mix shift — all in the shareholder letter. Anyone who read it knows what we know.

- **The gap never filled.** Our entry level sits 20.4% below today's price and the stock has gone *up* since the court, not down. A gate the market keeps walking away from is not a plan; it is a preference.
- **Our own conclusion is “fairly valued.”** Fairly valued is, by construction, priced in. We are not claiming a discount. We are claiming quality at a fair price with a good falsification test, which is a much weaker claim.
- **We can't verify the AI story.** Neither can the market — but the market is paying for it and we would be too.
- **The bear case that survived is a price case, and price cases decay.** If the business keeps compounding, \$126 becomes permanently unreachable and our discipline converts into a permanent miss. We flagged our first analyst for exactly this pathology (he set a \$105 gate and then wrote that the tape was “unlikely to revisit” it — a permanent no dressed as a condition). We are now one step away from the same error at \$126, and we have armed a sensor against ourselves accordingly.

What we checked ourselves

Including where our own analysts got it wrong. Six of the nine original rejection points were weakened, one was overturned outright, and two survived.

Claim	How checked	Found	Confirmed?
Free cash flow fell 6.8% while revenue grew 26%	8-K cash-flow statement, fiscal 2026 vs 2025	\$1,319.1M vs \$1,415.5M; margin 27.1% → 20.1%	Yes — the direction is a fact and stays a fact
That decline is structural cash decay	Rebuilt the receivable quarter by quarter from the Q2 10-Q, Q3 10-Q and the 8-K; the four quarters sum exactly to the annual figure	+\$241.4M / -\$367.4M / +\$4.3M / -\$362.7M = -\$484.5M. 75% of the build in the final quarter; a demonstrated collect-in-Q1-and-Q3 cycle	No — refuted. Our own first analyst never decomposed the quarters. He read a seasonal number as a structural one
“The company hid the cash-flow decline” — designated our single strongest finding	Pulled the prior year's release as a control document	Identical wording in a year when the comparison would have flattered them; prior-year figure also appears in the same release's reconciliation table; the letter states the quarter's cash flow “+32% y/y”	No — overturned. This was our headline finding and it was wrong. A surviving smaller point: cash flow <i>was</i> dropped from the headline bullets and the CEO quote. Real, but not concealment
The cash decline had only one cause (receivables)	Read the restructuring disclosure	A second cause was missed entirely: ~\$199M of cash severance versus \$0 the prior year	Our first analyst missed it. Normalized bridge: \$1,319.1M + \$334.4M + ~\$170M ≈ \$1,824M vs \$1,415.5M = +28.8%

Claim	How checked	Found	Confirmed?
“Cash flow minus stock comp is +\$246M, versus +\$53M last year — a 4.6x improvement”	Re-did our second analyst’s own arithmetic	He used the <i>top</i> of his severance range (\$199M) for this figure and the <i>midpoint</i> (\$170M) for his main bridge. At the midpoint it is +\$217M, a 4.1x improvement	Partly — our second analyst’s own inconsistency. Sign and direction hold; the specific number was flattered
Prior-year stock comp of ~\$1,362M implied by that math	Cross-checked against the machine evidence pack’s XBRL series (Q1–Q3 FY25 = \$1,011.7M)	Implied Q4 ≈ \$351M — consistent with the surrounding quarters	Yes, independently corroborated
The 10-Q supports a 1.5–2 point acquisition contribution to cloud growth	Second analyst re-fetched Atlassian’s actual 10-Q	Our first analyst’s cached “10-Q” was a different company’s filing entirely — it contained a “player deposit liability” line, i.e. a gaming issuer. Atlassian’s real filing shows the \$488.3M Arc/Dia acquisition carried no deferred revenue line at all (a product-and-talent deal), and the company states the acquisitions were not material	No — the source was the wrong document. Some inorganic contribution is real but far below 1.5–2 points and concentrated in one deal
“Cloud growth of 31% is a round-trip to where it started”	Company’s own quarterly table	Literally true (31% → 31%), but the revenue base is 31% larger (\$927.7M → \$1,213.5M/quarter) with a 25% trough in between	Technically yes, materially misleading — our framing, not the market’s
Forward bookings are duration, not demand	Compared current-year contracted revenue against clean metrics rather than reported revenue	+27% exceeds recurring-revenue growth of +23% and runs 14 points ahead of next year’s 13% revenue guide. The original comparison used the very revenue figure we ourselves called inflated	No — circular benchmark. Our own error
“Next year’s operating income declines 7%”	Withdrawn by the first analyst before adjudication	Arithmetically correct (\$1,857M vs \$1,996.5M) but economically meaningless — the decline is entirely the two disclosed items. Adjusting both, like-for-like operating income grows ~20%	He was right to withdraw it, but for a reason he never found
The company sandbagged its fiscal-2026 guidance (guided 18%, delivered 26%) — conceded by our first analyst in the company’s favor	Second analyst checked the timing of the guide	The initial guide predated two acquisitions closing. Part of that 8-point beat was bought, not sandbagged ; the organic beat was nearer 6 points	Our concession was too generous. Corrected against ourselves
No AI revenue is disclosed; the prior year’s “2.3 million AI monthly users” metric disappeared	Checked both years’ releases and letters end to end	Confirmed both halves. 19 mentions of the AI product, zero dollars. Prior-year user metric absent, replaced by a narrower one	Yes — upheld, and this is the finding that survived intact
“No seat or retention data exists either way”	Read the disclosed customer cohorts	Overstated. 57,334 customers above \$10k cloud recurring revenue (>85% of the total), >700 above \$1M, \$3M+ cohort +50%, \$5M+ cohort +70%	Partly. No absolute seat count and no retention <i>value</i> disclosed, so “strong

Claim	How checked	Found	Confirmed?
			seat expansion” stays qualitative
Balance-sheet receivables (+\$491.6M) vs cash-flow-statement receivables (−\$484.5M)	Direct comparison	\$7.1M apart, consistent with receivables acquired in the two deals	Immaterial, no issue
Machine evidence pack’s XBRL operating-cash-flow series	Inspected the series	It is fiscal-year-to-date cumulative , not quarterly (\$80.5M → \$351.9M → \$652.7M). Anyone differencing it as quarterly data gets nonsense. The series also stops at 2025-03-31 and contains no fiscal-2026 data at all	Our own tooling is a trap here. All fiscal-2026 figures in this deck come from the 8-K, not the pack
Both benches’ valuation math	Re-priced at today’s tape	Both benches worked at ~\$143. At \$158.34 the multiple is ~30x reported / ~22x normalized cash flow, ~20x adjusted operating income — every valuation number either analyst wrote is now ~11% stale, in the wrong direction	No. Restated above
The fiscal-2026 annual report was unavailable, so the earnings release was the best authority	Filing index	The 10-K was filed 2026-08-14 , a week after the court closed (accession 0001650372-26-000036). Nobody has read it	Superseded — open item. See unverified, below

Primary sources, fetched directly rather than through any summary: - Fourth-quarter earnings release: <https://www.sec.gov/Archives/edgar/data/1650372/000165037226000031/ex991q4fy26.htm> - Shareholder letter: <https://www.sec.gov/Archives/edgar/data/1650372/000165037226000031/teamq42026shareholderlet.htm> - **The prior-year control document that overturned our headline finding:** <https://www.sec.gov/Archives/edgar/data/1650372/000165037225000028/ex991q4fy25.htm> - Third-quarter 10-Q (used for the receivable decomposition): <https://www.sec.gov/Archives/edgar/data/1650372/000165037226000027/team-20260331.htm>

PROPOSED ENTRY BANDS

The court refused entry. These are reopen bands, not a buy plan. We own nothing today and we buy nothing today.

Binding, as adjudicated (verbatim):

- **Price ≤ \$126 → buy the first third.** This is a valuation gate, and because there is no binary event in the window, a resting good-till-cancelled order is permitted rather than requiring a live decision.
- **First-quarter fiscal 2027 print (late October): the receivable must release against the +\$241.4M prior-year base.** If it does not release materially, the structural reading wins, the price gate is **killed** — we do not average down into it.

Carried forward from the bench that proposed the ladder, **not** adjudicated and therefore advisory:

- ~\$112 → **second third**. This is near a fill of the gap from the \$110.17 pre-print close. The bench's logic was to tranche into the unfilled gap rather than try to time the bottom.
- **Final third: unspecified**. Both benches wrote tranche fractions and neither ever set the denominator — no target position size in dollars or as a share of the book was ever named. **That is an open decision, not a decided one**. The only sizing guidance on record is qualitative: “size modest,” on the grounds that this is fairly-paid quality with a clean-honesty overlay, not a discount.

Distances from today's \$158.34: the \$126 gate is **20.4% below**; the \$112 step is **29.3% below**. Since the court the stock has gone the other way — up 10.6% from \$143.10, with an intervening high of \$165.98. The gap has not filled; it has extended.

Exits and trims: **none apply**. There is no position to trim.

No option premium selling on either side of this — in a taxable account that income is short-term and non-deferrable. Limit ladders only.

Catalyst dates: - **2026-10-29 — first-quarter fiscal 2027 results**. This is derived from a data vendor and **is not confirmed by any company announcement**. Treat the date as approximate (“late October”) until Atlassian issues a press release naming it. - Second half of fiscal 2027 — the acquisition contribution to growth laps, per the company's own warning. No specific date. - March 2029 — Data Center end-of-life. Far out, but it is the clock the whole revenue-shape argument runs on.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 112.0 (deck-provisional: Bench-proposed second third near fill of the unfilled pre-print gap at \$110.17; advisory, not adjudica)
- filing watch: 10-Q until 2027-02-14 (deck-provisional: Q1 FY27: receivable release vs the +\$241.4M prior-year base, DSO retracing from 70.5 days, and recurri)
- dated pack TEAM|2026-10-29: TEAM Q1 FY27: HIT = AR releases against +\$241.4M prior-year base (collections cycle confirmed) AND cloud ex-migration $\geq 16.5\%$. RESOLVE: pyt
- dated pack TEAM|2027-02-01: TEAM: Forced gate review regardless of price, so a receding \$126 gate cannot become a permanent no by default. (date confirmed=False)

What remains unverified

- **AI product economics**. No revenue, no attach rate, no price, anywhere, across 19 mentions. The company monetizes it inside bundles and credits rather than as a separate product, which partly explains the absence — but “explained” is not “verified.” This is the live hole in the bull case.

- **Organic seat growth.** No absolute paid-seat count. No net-retention *value* — the letter defines the metric and then does not give the number. “Strong seat expansion” is management’s assertion, corroborated only by customer-cohort counts.
- **How much of the receivable build never comes back.** Payment terms genuinely lengthened (54.5 → 70.5 days). Our second analyst conceded a residual structural piece and did not size it. The October print sizes it.
- **The exact severance cash figure.** We used \$170M against a \$150–199M range; the disclosure gives ~\$70M paid in one quarter. Every normalization in this deck moves with that number.
- **The fiscal-2026 annual report.** Filed four days ago, unread. Both benches worked from the earnings release because the annual report did not exist yet. It does now.
- **The October print date.** Vendor-derived, not company-confirmed.
- **Our own target position size.** Never set by anyone.
- **Whether the \$126 gate is a discipline or an excuse.** We cannot know this yet. That is precisely why the staleness sensor above needs arming.

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